

CAMS Exam: Domain B Missing Content

15 Hard Questions Missing from Standard Materials

Based on 2024-2026 Candidate Feedback

FATF Rec. 35, Rec. 31, Rec. 34, IO.11, 7AMLD, Wolfsberg CBDDQ, 314(b) Opt-In, and More

Rec. 35 - Effective, Proportionate, Dissuasive (EPD)

All sanctions for AML/CFT violations must meet THREE criteria:

- ① **Effective** - actually deter violations
- ② **Proportionate** - fit the severity of violation
- ③ **Dissuasive** - discourage future violations

Sanctions Available For:

Natural Persons (Individuals)	Legal Persons (Corporations)
Imprisonment	Significant fines
Criminal fines	License revocation
Personal liability	Debarment from government contracts
Director disqualification	Cease-and-desist orders

[SCENARIO] A regulator issues a \$500 fine to a bank for a \$50 million AML program failure.

[TRAP] The fine exists, so sanctions are "present." **[right]** The fine is NOT dissuasive. \$500 for \$50M failure violates EPD standard.

Three Categories of Sanctions

- ❶ **Criminal Sanctions:** Imprisonment, criminal fines (for willful violations)
- ❷ **Civil Sanctions:** Civil penalties, damages (for negligent violations)
- ❸ **Administrative Sanctions:** License revocation, cease-and-desist, debarment

[!] MUST be available against BOTH individuals AND legal persons (corporations). What

Rec. 35 Requires:

- Sanctions for failure to file STRs
- Sanctions for failure to conduct CDD
- Sanctions for tipping-off
- Sanctions for violations by senior management (not just junior staff)

[FOCUS] Exam asks: "Which type of sanction is available under FATF Rec. 35?" Answer: Criminal, civil, AND administrative.

Rec. 31 - Powers of Competent Authorities

Law enforcement and competent authorities must have comprehensive investigative powers.

Mandatory Powers:

- Compel production of documents and records (including financial records)
- Conduct searches of persons and premises
- Take witness statements under oath
- Obtain financial information from FIs directly (no court order required)
- Use **Special Investigative Techniques (SITs)**

Special Investigative Techniques (SITs):

- Undercover operations
- Electronic surveillance (wiretapping, monitoring)
- Controlled deliveries (allowing illicit funds to move to identify recipients)
- Financial investigations parallel to predicate crime investigations

[!] All SITs must be available for BOTH ML and TF investigations.

[SCENARIO] Terrorist Financing Controlled Delivery Law enforcement identifies a cash courier transporting \$150,000 from Country A to Country B, suspected of funding a terrorist cell. Rather than arresting the courier and seizing the cash, authorities allow the transaction to proceed while monitoring the funds. The courier delivers the cash to a religious charity in Country B. Law enforcement then arrests both the courier and the charity's director, and seizes records identifying other donors. **Q: What investigative technique is being used?**

- A) Electronic surveillance
- B) Controlled delivery
- C) Undercover operation
- D) Asset forfeiture

[TRAP] This is regular law enforcement; no special technique needed. [right] Correct Answer: B (Controlled delivery). The funds were allowed to reach their intended destination to identify the full network.

Critical Requirement - NO Unreasonable Delays

Law enforcement must be able to obtain financial records **expeditiously** - within days, not months.

[SCENARIO] Prosecutor Unable to Obtain Bank Records A prosecutor is investigating a \$20 million corruption case. Bank records can only be obtained through a court order that takes 6-9 months. When records finally arrive, the suspect has already moved the funds through shell companies in three jurisdictions. **Q: Which FATF Recommendation is violated? [TRAP]**

Recommendation 30 (Law Enforcement Powers) - but that's partially correct. [right] Correct Answer: Recommendation 31. The inability to obtain records expeditiously violates the requirement for effective investigative powers. Rec. 30 covers having an FIU and LE structure; Rec. 31 covers specific powers including timely access.

Rec. 34 - NOT Optional

Competent authorities **MUST** provide guidance and feedback to FIs and DNFBPs.

What Must Be Provided:

- Red flag indicators for detecting suspicious activity
- Typologies and emerging ML/TF trends
- Feedback on STR quality and usefulness
- Best practices and case studies
- Outreach and awareness programs

[SCENARIO] FIU Disseminates STRs But Never Provides Feedback A country's FIU receives 85,000 STRs annually, disseminates 12,000 to law enforcement, but never provides any feedback to reporting institutions. Banks receive no information on whether their STRs were useful, no typology guidance, and no red flag updates. **Q: Which FATF Recommendation is violated?**

[TRAP] Rec. 20 (STR filing) - but banks ARE filing STRs. [right] Correct Answer: Recommendation 34. Guidance and feedback are REQUIRED, not optional best practices.

Rec. 7 - WMD Proliferation Financing

Countries must implement targeted financial sanctions for proliferation financing under UNSCR 1540, 1718, 1737, 2231, and 2270.

Proliferation Financing Red Flags:

- Dual-use goods (precision bearings, maraging steel, radiation-hardened chips, vacuum pumps) to sanctioned countries
- End-use statements inconsistent with goods ("agricultural research" for missile guidance components)
- Unusual shipping routes or free trade zone transshipment
- Customer has no legitimate business need for the goods
- Payment routing through multiple third-party intermediaries
- Shell company involvement on buyer side

[!] Dual-use goods + sanctioned jurisdiction + inconsistent end-use = proliferation financing red flag requiring SAR.

[SCENARIO] Suspicious Industrial Equipment Export A small trading company with no prior industrial history orders \$3.2 million in precision ball bearings rated for 15,000+ RPM. End-use declared as "food processing equipment" for a country under UNSC sanctions for WMD programs. The buyer pays through a shell company in a free trade zone. Shipping documents show routing through three intermediary countries with no apparent economic purpose. **What**

the Exam Tests: Recognizing proliferation financing red flags. **Analysis:**

- ① Precision bearings at 15,000+ RPM = potential missile or centrifuge component
- ② "Food processing" end-use is inconsistent (food processing uses lower-grade bearings)
- ③ Sanctions jurisdiction + FTZ routing + shell company = layering
- ④ Proliferation financing SAR required

[TRAP] This is standard trade-based money laundering. [right] Correct Answer: Proliferation financing under UNSCR 1540 and FATF Rec. 7. Dual-use goods + sanctions evasion + inconsistent end-use = PF red flag.

IO.11 - Counter-Proliferation Financing Measures

Measures the effectiveness of a country's ability to prevent and stop WMD proliferation financing.

What IO.11 Assesses:

- Implementation of UNSCR 1540 (WMD non-proliferation)
- Targeted financial sanctions for designated proliferators
- Detection of dual-use goods exports to sanctioned programs
- Coordination between customs, intelligence, and financial authorities
- Number of proliferation financing investigations and prosecutions

[SCENARIO] Country Has Strong ML/TF Controls But Weak PF Controls Country Z has excellent ML/TF controls (High on IO.1-IO.10) but has never identified a proliferation financing case. Dual-use goods flow freely through its free trade zones to sanctioned countries. Customs and financial authorities do not coordinate on proliferation risks. **Q: Which FATF Immediate Outcome will be rated Low? [TRAP] IO.7 (ML prosecutions) - but ML prosecutions are fine. [right] Correct Answer: IO.11 (Counter-Proliferation Financing). Weak PF controls result in a separate low rating even if ML/TF controls are strong.**

Rec. 23 - DNFBP Obligations for TCSPs

TCSPs must conduct CDD when performing specified activities.

Six TCSP Activities Requiring CDD:

- ① Acting as a **formation agent** for legal persons
- ② Acting as (or arranging for) a **director or secretary** of a company
- ③ Providing a **registered office** address
- ④ Acting as (or arranging for) a **nominee shareholder** for another person
- ⑤ Acting as (or arranging for) a **trustee** of an express trust
- ⑥ Acting as (or arranging for) a **nominee director** for another person

[SCENARIO] Law Firm Forms Shell Companies for Anonymous Client A law firm forms 15 BVI companies for a client the firm has never met. The firm provides nominee directors and registered office addresses. The client refuses to provide identification or disclose the beneficial owner. **Q: What is the law firm's obligation under FATF Rec. 23? [TRAP] Attorney-client privilege exempts the firm from CDD. [right] Correct Answer: The firm is acting as a TCSP (formation agent + nominee director + registered office). CDD is required. Attorney-client privilege does NOT apply to company formation activities.**

EU AML Authority (AMLA)

First centralized EU AML supervisor with **direct supervisory powers** over highest-risk cross-border financial institutions.

Key 7AMLD / AMLA Provisions:

- **AMLA** operational by 2026, headquartered in Frankfurt
- Direct supervision of **high-risk cross-border FIs** (banks, VASPs, MSBs)
- **EUR 10,000 cash payment limit** across all EU member states (mandatory)
- **Beneficial ownership registers** - public access restored (subject to legitimate interest test)
- **VASP Travel Rule** enforcement strengthened
- **Supervisory powers** for AMLA: on-site inspections, fines, license revocation

[!] Exam QUESTION: "What is the new EU AML supervisor with direct powers?" Answer: AMLA (EU AML Authority), not EBA.

Mandatory EU-Wide Cash Payment Limit

All EU member states must prohibit cash payments exceeding EUR 10,000.

Key Points:

- Applies to all commercial transactions (goods, services, real estate)
- Member states may set **LOWER** limits (e.g., EUR 3,000)
- Violations subject to sanctions
- Aims to reduce cash-based ML/TF and tax evasion
- Does NOT apply to private individuals (e.g., selling personal car)

[SCENARIO] A real estate transaction in Spain for EUR 450,000. The buyer offers to pay EUR 350,000 in cash and the remainder via bank transfer. **Q:** Under 7AMLD, is this

transaction permitted? **[TRAP]** Cash payments are still permitted as long as the transaction is reported. **[right]** Correct Answer: **NO.** EUR 350,000 cash exceeds the EUR 10,000 limit. The entire transaction would violate the cash payment prohibition unless restructured entirely through banking channels.

The Three Critical Sections of the CBDDQ

The Wolfsberg CBDDQ is organized into three core areas.

Section	What It Covers
Section 1: AML/CFT Policies & Procedures	Respondent's AML controls, SAR process, independent audit, CDD policies, recordkeeping
Section 2: Customer Base Risk	Types of customers (MSBs, NBFIs, foreign PEPs, shell companies, high-risk jurisdictions)
Section 3: Independent Testing	Audit schedule, scope, findings, remediation status, auditor qualifications

[!] Most critical risk factor: Respondent servicing unlicensed MSBs + no recent independent audit. [TRAP] The CBDDQ asks about the respondent bank's CEO personal investments or office locations. [right] Correct Answer: The CBDDQ focuses exclusively on AML controls, customer base composition, and independent testing - not executive personal matters.

Section 312 - Mandatory Enhanced Due Diligence

U.S. banks must apply EDD to correspondent accounts of foreign banks.

Triggering Conditions for EDD:

- Foreign bank operates under an **offshore license** (Cayman, BVI, Bahamas, Bermuda, Panama)
- Foreign bank has **PEP customers** as a significant customer base
- Foreign bank located in **Grey List or Black List** jurisdiction
- Foreign bank permits **payable-through accounts** for non-bank customers
- Foreign bank is NOT a subsidiary of a U.S. bank

Required EDD Elements (Section 312):

- 1 Determine if account is a payable-through account
- 2 Identify all owners of the foreign bank
- 3 Conduct enhanced scrutiny of transactions
- 4 Determine if the foreign bank has AML controls for its own customers

[!] Section 312 EDD is MANDATORY - not risk-based discretion.

314(b) - Critical Opt-In Requirement

Financial institutions must file an **opt-in notice** with FinCEN before sharing information.

314(b) Requirements:

- File **opt-in notice** with FinCEN (not automatic)
- Maintain **confidentiality** of shared information
- Sharing limited to **suspected ML/TF** (cannot share for other purposes)
- May share SAR information (exception to tipping-off prohibition)
- Receive **safe harbor** from liability

Eligible Institutions:

- Banks, credit unions, savings associations
- Broker-dealers, futures commission merchants
- MSBs, casinos, insurance companies
- **NOT available to:** individuals, most DNFBPs (lawyers, accountants, real estate agents generally excluded)

[TRAP] Any financial institution can share information under 314(b) without prior registration. [right] Correct Answer: FI must FILE OPT-IN NOTICE with FinCEN before sharing. Retroactive sharing is not permitted.

Lowered Threshold for Anonymous Prepaid Cards

5AMLD lowered the anonymous prepaid card threshold from EUR 250 to EUR 150.

Key Provisions:

- 4AMLD threshold: EUR 250
- 5AMLD threshold: **EUR 150** (effective 2020)
- Prepaid cards with value exceeding EUR 150 must be linked to an identified customer account
- Applies to all anonymous prepaid cards (including digital/virtual cards)
- Applies to single-use and reloadable cards

[SCENARIO] Customer Purchases Multiple EUR 100 Prepaid Cards A customer purchases 40 prepaid debit cards, each loaded with EUR 100 (total EUR 4,000). Each individual card is below the EUR 150 threshold. **Q: Under 5AMLD, is this permitted without customer identification?**

[TRAP] Each card is below EUR 150, so no identification required. [right] Correct Answer: The 5AMLD threshold applies **PER CARD**. EUR 100 per card is below the threshold, so no identification required for individual cards. However, structural purchases may trigger other AML concerns (structuring). **[!] Exam QUESTION: "Under 5AMLD, what is the maximum value of an anonymous prepaid card?" Answer: EUR 150.**

Two Different Types of Terrorist Financing Sanctions

The exam tests the distinction between UNSCR 1373 and UNSCR 1267/1988.

UNSCR 1267/1988	UNSCR 1373
Specific designated persons (Al-Qaida, Taliban, ISIS)	General obligation to criminalize TF
UN Security Council maintains the list	Countries create their OWN designation lists
Mandatory freezing for all member states	Countries have discretion to designate
Assets frozen immediately upon designation	Countries must freeze assets of domestically designated persons
No country discretion to delist	Countries can establish their own delisting procedures

[SCENARIO] Bank Customer Appears on No Sanctions List A bank's customer is not listed on any UN sanctions list. However, the country's domestic counter-terrorism authority has designated the individual as a terrorist financier. **Q: Must the bank freeze the customer's**

assets? **[TRAP] No UN listing means no freezing obligation. [right] Correct Answer: YES - under UNSCR 1373, countries must freeze assets of DOMESTICALLY designated persons. The bank must comply with its national law implementing UNSCR 1373.**

Original Four Pillars (pre-2016)

- 1 Internal controls reasonably designed to assure BSA compliance
- 2 Designated compliance officer (BSA Officer/MLRO)
- 3 Ongoing employee training (initial and periodic)
- 4 Independent testing (audit by independent party)

Fifth Pillar Added in 2016 (FinCEN CDD Rule)

5. Customer Due Diligence (including Beneficial Ownership Identification)

What the CDD Rule Requires:

- Identify and verify beneficial owners of legal entity customers
- Two-prong test: Ownership (25%+) AND Control (at least one individual)
- Applies to all legal entity customers (LLCs, corporations, partnerships, trusts)

[!] Exam QUESTION: "What regulation added beneficial ownership to the BSA five pillars?"
[right] Correct Answer: The 2016 CDD Rule (FinCEN). Beneficial ownership identification is now the FIFTH pillar, not optional.

Five Requirements for Egmont Membership

An FIU must meet ALL of the following criteria.

Egmont Membership Requirements:

- 1 FIU must be **operational** (receiving, analyzing, disseminating intelligence)
- 2 Country must be a member of **FATF OR an FSRB** (Asia/Pacific Group, MONEYVAL, GAFILAT, etc.)
- 3 Must sign the **Egmont Group Charter**
- 4 Must have **legal authority** to exchange information with foreign FIUs
- 5 Must maintain **confidentiality** of shared information

[SCENARIO] A country has an operational FIU but is not a member of FATF or any FSRB. The FIU applies for Egmont Group membership. Q: Will the Egmont Group accept this FIU?

[TRAP] Any operational FIU can join Egmont regardless of FATF status. **[right]** Correct Answer: **NO**. The country must be a member of FATF OR an FSRB as a prerequisite for Egmont membership.

Integrated AML/CFT Governance

The Basel Committee expects AML/CFT to be integrated across all three lines of defense.

Line	Responsibility
First Line: Business Operations	Front-line staff, relationship managers, tellers. Own customer relationships, identify anomalies, collect CDD.
Second Line: Compliance	Compliance Department, BSA Officer, MLRO. Oversight, guidance, monitoring, reporting, SAR filing.
Third Line: Internal Audit	Internal Audit Department. Independent assurance to the Board. Cannot design controls they later test.

[SCENARIO] Internal Audit designs the AML monitoring system and also tests it annually.

[TRAP] This is efficient - same team knows the system well. **[right]** Correct Answer: This violates independence requirements. The third line (Audit) cannot design the controls it later tests. **[!]** Independence violation: Audit cannot design controls they later test.

Article 23 - Restrictions on Data Subject Rights

EU member states may restrict data subject rights (access, erasure, portability) when necessary for AML/CFT purposes.

Article 48 - Cross-Border Data Transfers for Court Judgments

Requires that non-EU court judgments ordering data transfers be recognized only through an MLAT or international agreement.

Article 49(1)(d) - Derogation for Important Public Interest

Allows cross-border data transfers when "necessary for important public interest" including AML/CFT and law enforcement cooperation.

[SCENARIO] EU Bank Receives U.S. Grand Jury Subpoena A U.S. grand jury subpoenas an EU bank for customer records related to a money laundering investigation. No MLAT exists between the U.S. and the EU country. **Q: Under GDPR, can the bank comply? [TRAP] GDPR**

prohibits all cross-border transfers without an MLAT. [right] Correct Answer: Article 49(1)(d) allows transfer if "necessary for important public interest" including AML/CFT. The bank must document the legal basis but can comply.

How to Calculate Through Multiple Tiers

Ownership is calculated by multiplying through each tier. Only blocked entities transmit blocked status downstream.

Example Structure:

- Individual X (SDN-listed) owns 55% of Company A
- Company A owns 40% of Company B
- Company B owns 60% of Company C

Analysis:

- 1 Company A is BLOCKED (55% owned by SDN - exceeds 50%)
- 2 Company B is NOT BLOCKED (40% ownership from A - below 50%)
- 3 Company C is NOT BLOCKED (Company B is not blocked, so its 60% ownership does NOT transmit blocked status)

[!] If an entity in the chain is not blocked, it does NOT transmit blocked status downstream, even if ownership exceeds 50%. [TRAP] Company C is blocked because Company B owns 60% of it. [right] Correct Answer: Company C is NOT blocked. Only blocked entities transmit blocked status. Since Company B is not blocked, it cannot transmit blocked status to Company C.

- ❶ **Rec. 35** - EPD Sanctions (criminal, civil, administrative)
- ❷ **Rec. 31** - Investigative Powers (SITs: controlled delivery, surveillance)
- ❸ **Rec. 34** - Guidance & Feedback (NOT optional)
- ❹ **Rec. 7** - Proliferation Financing (dual-use goods red flags)
- ❺ **IO.11** - Counter-Proliferation (separate from ML/TF)
- ❻ **Rec. 23** - TCSP Activities (6 specific activities)
- ❼ **7AMLD/AMLA** - EUR 10k cash limit, AMLA supervisor
- ❽ **Wolfsberg CBDDQ** - 3 sections (controls, customers, testing)
- ❾ **Section 312** - EDD for correspondent accounts
- ❿ **Section 314(b)** - Opt-in notice required
- ⓫ **5AMLD Prepaid** - EUR 150 threshold
- ⓬ **UNSCR 1373 vs 1267** - Domestic vs UN designation
- ⓭ **BSA Fifth Pillar** - 2016 CDD Rule (BO identification)
- ⓮ **Egmont Membership** - FATF/FSRB membership required
- ⓯ **Basel Three Lines** - Independence requirement
- ⓰ **GDPR Arts 23,48,49** - AML exceptions to data protection
- ⓱ **OFAC 50% Rule** - Multi-tier calculation

[CORRECT] These 17 concepts are consistently reported as "surprise" questions.

- \$500 fine for \$50M violation → NOT dissuasive (violates Rec. 35)
- 6-month delay for bank records → violates Rec. 31 (expeditious access)
- FIU never provides feedback to banks → violates Rec. 34
- Dual-use goods + "food processing" end-use → proliferation financing (Rec. 7)
- Weak PF controls despite strong ML/TF → Low IO.11 rating
- Law firm forms companies without CDD → TCSP activity (Rec. 23)
- EUR 350,000 cash for real estate → violates 7AMLD EUR 10k limit
- Respondent bank servicing unlicensed MSBs → Wolfsberg CBDDQ highest risk
- Foreign offshore bank correspondent → Section 312 EDD required
- 314(b) sharing without opt-in notice → violation
- Anonymous prepaid card at EUR 200 → violates 5AMLD (limit EUR 150)
- Country designates TF without UN listing → UNSCR 1373 permits this
- AML program missing BO identification → missing fifth pillar (2016 CDD Rule)
- FIU not in FATF or FSRB → cannot join Egmont
- Audit designs AND tests AML system → violates independence
- Bank refuses U.S. subpoena citing GDPR → Article 49 provides exception

- **Rec. 35:** Sanctions must be Effective, Proportionate, Dissuasive (all three)
- **Rec. 31:** Controlled deliveries are permitted special investigative techniques
- **Rec. 34:** Guidance and feedback to FIs is MANDATORY, not optional
- **Rec. 7 / IO.11:** Proliferation financing is separate from TBML
- **TCSPs:** Forming companies, nominee directors, registered office all require CDD
- **7AMLD:** EUR 10,000 cash limit across all EU; AMLA is new supervisor
- **Wolfsberg CBDDQ:** Three sections = Policies, Customer Base, Independent Testing
- **Section 312:** EDD for correspondent accounts of offshore banks is MANDATORY
- **Section 314(b):** Must file OPT-IN NOTICE before sharing
- **5AMLD prepaid:** Anonymous cards limited to EUR 150
- **UNSCR 1373:** Countries can create their own TF designation lists
- **BSA Five Pillars:** 2016 CDD Rule added BO identification as 5th pillar
- **Egmont:** Country must be FATF OR FSRB member to join
- **Basel Three Lines:** Audit cannot design controls it tests (independence)
- **GDPR:** Articles 23, 48, 49 provide AML exceptions to data protection
- **OFAC 50%:** Multiply through tiers; only blocked entities transmit status

[CORRECT] Good luck - you've covered the hard Domain B questions now!